what's a **payment?**

A PLAN FOR BUILDING WEALTH WITH REAL ESTATE

Real Estate Wealth Road Map

How a first home becomes your first investment, and how compounding, leverage and time turn it into financial independence.

- **Where most families stand**
  Savings, retirement and the case for a plan
- **The three keys**
  Compounding, leverage, staying the course
- **The numbers**
  2018–2024 results, 56 years of California prices, a 10-year sample
- **How we help**
  Balance, safety, rate of return, tax deductions

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INTRODUCTION

Your home is your first investment

Most of us start out wanting to be rich. Over time, the goal usually becomes something simpler: a secure financial life for our family. Getting there takes hard work, discipline and a plan.

We can't do the hard work or the saving for you. We can help with the plan, which is the part most people skip. You wouldn't drive across the country without a map, and building wealth works the same way. This road map lays out a specific, easy-to-follow strategy, and one of our team can walk through it with you using your own numbers.

The strategy works on modest incomes. It starts with a purchase most families already plan to make. The house you buy to live in is also your first real estate investment and the first step toward financial security.

So why do so many people miss it? Most families plan their future with a financial planner. Many planners are highly skilled, and most of them focus on what they sell: stocks, bonds, mutual funds, annuities and other insurance products. Real estate usually shows up as "owning your home," not as a way to build wealth.

This road map shows another path. It uses the same tools that built many of the largest fortunes in this country, applied to a property you can buy today. The following pages explain how it works, with current figures for California.

Invest a little, gain much more. The pages that follow show how, with real numbers.

WHERE MOST FAMILIES STAND

Saving alone falls short

46%
of American workers had less than $10,000 in savings

29%
had less than $1,000 in savings

25%
had no savings at all

Source: Employee Benefit Research Institute, Retirement Confidence Survey, 2007.

These numbers don’t have to describe you. Anyone who buys a home can turn that first investment into much larger results with a clear plan.

DEFINITION

What financial independence means

WHAT IT IS

Owning enough income-producing assets to live comfortably without needing to keep working.

WHY SAVING ISN’T ENOUGH

Families pay for housing, cars, college and vacations. Saving for next year is hard enough. Without an investment plan, savings rarely cover retirement.

LIMITED ADVICE CAN COST YOU

Real estate belongs in the mix

Ask most financial advisors to plan your retirement and you’ll see securities and insurance products. We believe in a diversified portfolio and would never suggest our clients own only real estate. We do insist that real estate be part of that mix. Most people don’t realize how its returns compare once leverage is counted. Page 5 shows a recent example.

THE THREE KEYS TO REAL ESTATE INVESTING

Three forces do the work

1
Compounding
Growth earns growth. Each year builds on the last.

2
Leverage
A small down payment controls a much larger asset.

3
Staying the course
Time gives the first two room to work.

KEY 1 · COMPOUNDING

Your returns start earning returns

Compounding happens when your investment earns money on top of what it has already earned. Two things decide how fast it works:

- **Rate of return.** The higher the rate, the faster your money grows.
- **Time.** The sooner you start, the more years the growth has to build on itself.

THE ELEMENT OF TIME

$2,000 a year at 6%: start early

YOUR FRIEND

Invests at ages 24–33, then stops.
10 deposits · **$20,000** in

VALUE AT 65

$171,430

YOU

Invest every year, ages 34–65.
32 deposits · **$64,000** in

VALUE AT 65

$182,510

Starting 10 years later took more than three times the money to finish about even.

KEY 2 · LEVERAGE

$50,000 in 2018: house or stocks?

Nearly every investment compounds. Few let you use leverage, which means investing with borrowed money. Borrowing to buy stocks is risky: if the market drops sharply, the lender can call the loan and the investment can be wiped out. A mortgage works differently. As long as you buy carefully and keep up the payments, a market drop doesn't force a sale. Your return is based on the value of the whole property, not on the size of your down payment.

COMMON MISCONCEPTION

"My home is the best investment I ever made."

Home bought 2018 at $569,480, sold 2024 at $865,440

+52%

$50,000 in the S&P 500 grew to $129,541

+159%

On price alone, stocks grew about three times faster.

REALITY

The financing was the best investment decision.

$50,000 down (8.8%) controlled the whole $569,480 house. The $295,960 gain came back on that $50,000.

RETURN ON CASH

592%

vs. 159% in the stock market

Home: California Association of REALTORS® median price, existing single-family homes, 2018 and 2024. Stocks: S&P 500 total return with dividends reinvested, 2019–2024. Return on cash is before closing and selling costs, mortgage payments and principal paydown.

KEY 3 · STAYING THE COURSE

Two mistakes that undo the plan

Careless spending

Designer furniture, luxury cars and other short-term rewards don't compound and can't be leveraged. Every dollar spent there is a dollar that stops working for you.

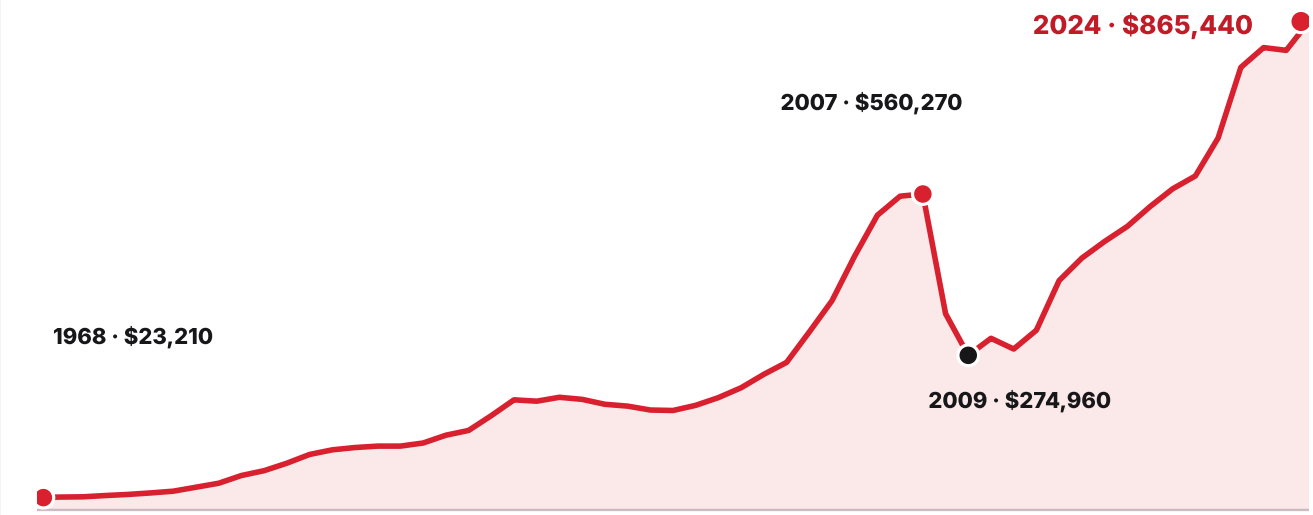
Cashing in early

Many owners sell after 5–7 years and buy a bigger house with a bigger mortgage. The compounding stops and starts over, and they carry more debt and higher property taxes than before.

PROPERTY VALUE APPRECIATION

California: 7.3% a year for 56 years

Staying the course pays because California prices have grown through every cycle since 1968. There were peaks and valleys, including the drop after 2007, and the long-run trend still rose from $23,210 to $865,440.



PERIOD	YEARS	AVG. YEARLY CHANGE	COMPOUND ANNUAL RATE
Last 5 years	2020–2024	8.1%	7.9%
Last 10 years	2015–2024	6.9%	6.8%
Last 15 years	2010–2024	8.2%	7.9%
Last 20 years	2005–2024	4.4%	3.3%
Last 30 years	1995–2024	6.1%	5.3%
Last 40 years	1985–2024	5.9%	5.2%
Last 56 years	**1969–2024**	**7.3%**	**6.7%**

Source: C.A.R. Annual Historical Data Summary 2025, existing single-family annual median. Average = mean of each year's % change. Compound = the steady yearly rate from the starting median to the 2024 median. The 20-year span starts near the mid-2000s peak.

PUTTING THE THREE KEYS TOGETHER

Sample result: $42,500 down on an $850,000 home

Here is what the plan looks like on a single purchase held for 10 years, using a 5% down payment and a conservative growth assumption.

THE PURCHASE

Purchase price	$850,000
Down payment (5%)	$42,500
Total monthly payment	$6,331
After est. tax savings	$4,461
Today’s rent, same home	$4,000
Assumed appreciation	5% a year

5% sits below California’s 56-year average of 7.3%.

EQUITY POSITION AFTER 10 YEARS

$696,489

Home value $1,384,560 − loan balance $688,072

16.4×
the $42,500 down payment, about 32% a year

$764,878
ahead of renting by year 10, rent avoided included

YEAR	RENT / MO	HOME VALUE	LOAN BALANCE	EQUITY
1	$4,000	$892,500	$799,443	$93,057
3	$4,410	$983,981	$780,076	$203,905
5	$4,862	$1,084,839	$757,972	$326,867
7	$5,360	$1,196,035	$732,747	$463,289
10	**$6,205**	**$1,384,560**	**$688,072**	**$696,489**

Source: rent vs. own analysis, 10/29/2026. Assumes 5% yearly appreciation and rent increases, a 35% tax rate and itemized deductions. Excludes closing costs. Estimates for education only, not a commitment to lend, a rate quote or tax advice. Consult a tax professional.

HOW WE HELP

Your real estate investment consultant

We help clients build and carry out a long-term investment plan, then create and manage a real estate portfolio that improves four things.

Balance

A balanced portfolio holds stocks, bonds and real estate. Diversifying across all three strengthens your overall position.

Safety

Real estate carries real risks. We never rush a decision. We review location, property condition and compliance with city, county and state rules before you buy.

Rate of return

The goal is a strong return at a level of risk you're comfortable with. Leverage lets a modest down payment earn on the full value of the property, and careful buying means a downturn doesn't force a sale.

Tax deductions

Real estate carries tax advantages other investments don't. We'll point them out as you plan purchases. Confirm the specifics with your CPA.

A full team behind your plan

We work with tax professionals, estate planners and real estate attorneys who contribute guidance for our clients.

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Ready to run your real numbers?

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